

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. f/k/a/ BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**RESPONDENTS' REPLY IN SUPPORT OF MOTION TO STRIKE THE
VERIFICATION OF DAVID KASTIN AND DISMISS THE COMPLAINT**

Pursuant to FMC Rule 70(c), Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”) respectfully file this, their Reply in Support of the Motion to Strike the Verification of David Kastin and Dismiss Bed Bath and Beyond, Inc.’s (“Complainant” or “BBBY”) First Amended Verified Complaint.

INTRODUCTION

Complainant’s opposition to the Motion to Strike Mr. Kastin’s Verification describes with crystal clarity the same shortcomings of the Verification raised by Respondents. Complainant—and Mr. Kastin—admit the Verification is false and attempt to circumvent that fact by receding further behind the shield of attorney client privilege, the same privilege they used as a sword throughout Mr. Kastin’s deposition and continue to swing. Unfortunately for Complainant, “privilege cannot be used both as a sword and as a shield.” *Recycling Solutions, Inc. v. District of Columbia*, 175 F.R.D. 407, 408 (D.D.C. 1997). For the reasons outlined below and in the motion to strike, Mr. Kastin’s Verification should be stricken and the First Amended Complaint consequently dismissed for failure to meet the verification requirement.

ARGUMENT

I. Complainant and Mr. Kestin concede the Verification's falsity, necessitating that it be stricken and the First Amended Complaint dismissed.

Mr. Kestin admitted that in preparing to sign the Verification in support of the First Amended Complaint, he “was looking at the Complaint trying to verify it,” rather than looking at the First Amended Complaint objectively. *See Kestin Depo.* at 192:9-17. Mr. Kestin’s outcome-focused review of the First Amended Complaint, perhaps unsurprisingly, led to his signing of a false Verification, one that speaks of personal knowledge Mr. Kestin does not have, one that omits any consideration of the content in the Original Complaint, and one that falls short of effectively verifying the First Amended Complaint. Through his deposition testimony, Complainant’s response opposing the motion to strike, and Mr. Kestin’s declaration attached thereto, it is clear that the Verification is false and therefore must be stricken.

a. The Verification falsely refers to Mr. Kestin’s personal knowledge, which he now swears he does not have.

Complainant and Mr. Kestin state unequivocally that Mr. Kestin has no personal knowledge of the facts underlying the First Amended Complaint. Instead, Mr. Kestin’s Verification and deposition testimony were premised solely on the documents he received from counsel, documents he can no longer identify and no longer possesses. *See Kestin Depo.* at 78:11-79:2. Complainant argues that Mr. Kestin’s admitted lack of personal knowledge undermines and shows the futility of the motion to strike. Yet, Complainant does not even try to explain the inconsistencies in Mr. Kestin’s multiple sworn statements or explain how Respondents should parse through these inconsistencies to find the true facts buried in Complainant’s gamesmanship.¹

¹ In addition to offering Mr. Kestin’s Verification, despite him having no personal knowledge of the facts he purportedly verified, Complainant’s gamesmanship also includes their vast and duplicative document production, their

Despite now claiming to have no personal knowledge, Mr. Kastin's Verification states the opposite: "I have read the foregoing Verified First Amended Complaint and believe, **to the best of my knowledge**, information, and belief, *including* information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct." Verified First Amended Complaint at 55 (emphasis added). Mr. Kastin stated under penalty of perjury that he had personal knowledge but he now attests he had none. These statements cannot both be true, and Respondents have no way of knowing which to take as fact.² Assuming Mr. Kastin in fact has no personal knowledge, his Verification is plainly false and should be stricken.

Complainant tries to rely on the "information received from others" language as its saving grace. But the truth of one clause does not displace the falsity of others. It is indisputable that the Verification includes the language, "to the best of my knowledge[.]" *Id.* Now, according to Complainant and Mr. Kastin, this statement is false. That Mr. Kastin may have relied on information from others does not change his statement regarding knowledge because the Verification is conjunctive, not disjunctive: his "knowledge, information, **and** belief."

Taking the deposition testimony and the arguments made in the motion response as true, Mr. Kastin *exclusively* relied on information provided to him by others, which is not what the Verification asserts. According to his current testimony, Mr. Kastin's Verification should state something akin to "I formed a belief based solely on information received from others, the source of which I am unsure." This more accurate statement being plainly insufficient to

late efforts to amend their Complaint a second time, and their request to nearly double the page limit for their brief. All of these actions together show Complainant has chosen to deploy a classic inundation strategy in this litigation.
² Complainants' response to the motion does not clarify the conflicting testimony because Complainants refuse to withdraw their privilege objections, as discussed below.

satisfy a reasonable person that averments in a complaint are true, Complainant proceeded to craft a formulaic verification and had Mr. Kastin sign it. Because Mr. Kastin—who has repeatedly reminded Respondents of his status as an attorney—signed a false verification under penalty of perjury, the Verification should be stricken.

b. Mr. Kastin only attempted to verify the new portions of the First Amended Complaint, leaving the balance wholly unverified.

As Complainant correctly points out, “[b]ecause a properly filed amended complaint supersedes the original one and becomes the operative complaint in the case, it renders the original complaint of no effect.” *Fawzy v. SNC*, 873 F.3d 451, 455 (4th Cir. 2017). The First Amended Complaint therefore superseded the Original Complaint, the latter now being treated as “non-existent.” *Ramirez v. Cnty. Of San Bernardino*, 806 F.3d 1002, 1008 (9th Cir. 2015). In his declaration supporting Complainant’s response to the motion to strike, Mr. Kastin provided a new declaration that states, in part:

“I understand the allegations in Complainant’s original Verified Complaint were verified by then-current employee of BBY, Mr. Ian Pinchuk, whom counsel for Respondents deposed on August 9, 2024. . . . As part of my review in connection with the 1AC Verification, *I determined that all changes from the original Verified Complaint to the 1AC* were based on discovery produced in this action, which discovery material is expressly identified in footnotes to the 1AC for ease of reference.”

Kastin Declaration of Nov. 15, 2024 (emphasis added).

According to his Nov. 15 Declaration, Mr. Kastin only reviewed the changes found in the First Amended Complaint and did not review the portions of the First Amended Complaint carried over from the Original Complaint. Of course, that is not what the Verification accompanying the First Amended Complaint says. Mr. Kastin now tries to rely on the verification accompanying the Original Complaint signed by Mr. Pinchuk. This is insufficient and, even if the Verification is accepted despite the false statement regarding his knowledge,

leaves the First Amended Complaint only partially verified. Because the Original Complaint was superseded by the First Amended Complaint and the Verification of the First Amended Complaint only applied to the changes therein, there is no verification whatsoever of the portions of the First Amended Complaint that carried over from the Original Complaint. An unverified complaint cannot stand and should be dismissed. *See Yarosh v. Salkind*, 2005 WL 1459719, at * 3; *see also, e.g., Balazs v. Liebenthal*, 32 F.3d 151, 156 (4th Cir. 1994) (dismissing an unverified EEOC complaint where statute required complaint to be sworn).

c. Mr. Kastin did not adequately verify the new portions of the Amended Complaint.

Setting aside that Mr. Kastin lied in his Verification and did not even attempt to verify the content carried over from the Original Complaint, his Verification fails yet again when confined to the changes in the First Amended Complaint. Relying only on “information and belief,” Complainant states in its motion response that “[i]n his deposition, Mr. Kastin confirmed that his verification of the 1AC was—like most verifications in large commercial cases—based upon company data, communications, and business records.” Response at 10. But Complainant mischaracterizes the testimony.

Mr. Kastin never testified to having reviewed any company data, communications, or business records. Rather, he testified vaguely to (i) reviewing documents provided to him by Complainant’s counsel, (ii) having no recollection of those documents or their contents, (iii) having no recollection of the source of those documents, and (iv) having deleted those documents. The best descriptions Mr. Kastin could muster as to what documents he reviewed were “emails,” “other documents,” and “Excel spreadsheets.” *See e.g., Kastin Depo.* at 101:5-8; 148:7-11. He went nowhere near attributing any communications, data, or company records to Bed Bath & Beyond, but instead clearly stated that he did not know what documents he

reviewed or who authored them. All he knew was that he received them from counsel.

Complainant tries to brush off Mr. Kastin's striking lack of knowledge as "imperfect recall." Motion Response at 11. But "imperfect recall" implies *some* recall and, even more fundamentally, that there was information to recall. All indications are that there was not. Mr. Kastin testified that he did not recall something so significant as whether the \$133 million damages claim was included in the information he received from counsel. *See Kastin Depo.* at 201:12-18. This is not imperfect recall. It is a failure to review whether evidence existed to support the claims at issue. Because Mr. Kastin could not have reasonably satisfied himself of the truth of the allegations, the Verification should be stricken.

d. Complainant's attempt to amend the Complaint again shows the Verification is a sham.

Burying the lead, Complainant now seeks to amend its Complaint again, this time increasing its claimed damages while putatively relying on information that has been available throughout discovery, and in the process attempting to supplant Mr. Kastin's defective Verification to the First Amended Complaint. This attempt at a Second Amended Complaint further shows that the Verification to the First Amended Complaint is a sham. Complainant asserts that the changes in the requested Second Amended Complaint are "purely ministerial in nature and merely update[] the damages demands to conform to information that has already been produced in discovery, so it will not prejudice Respondents in any way." Response at 22. If that is true, then no good cause exists to file the Second Amended Complaint after the close of discovery because the information was readily available to Complainant beforehand. Yet, Mr. Kastin, in verifying the First Amended Complaint, swore to the veracity of the damages claimed therein. He has now gone on record swearing to the veracity of the revised numbers, which are ostensibly based off the same underlying data.

Both of these verifications—as with his contradictory testimony regarding his personal knowledge—cannot be true. Complainant’s assertion in its motion response clearly shows yet again that Mr. Kastin’s Verification of the First Amended Complaint is false. Despite having no idea how the damages in the First Amended Complaint were calculated or from where the underlying data came, Mr. Kastin swore to their accuracy. Respondents and the Presiding Officer need only assume the same dearth of effort was put into this new verification.³

Through its argument in the Motion response and in the motion to file a Second Amended Complaint, Complainant concedes the falsity of Mr. Kastin’s Verification to the First Amended Complaint. Further, Mr. Kastin did not even attempt to verify the claims carried over from the Original Complaint and failed to adequately verify the additions asserted in the First Amended Complaint. The Verification must therefore be stricken. As the time has well passed for amending pleadings, the proceeding should be dismissed in its entirety.

II. The continued assertion of the attorney-client privilege is improper, and the objections must be withdrawn.

Complainant argues that its repeated privilege objections were viable because they were “based upon the possibility of disclosing privileged information related to Mr. Kastin’s role as Chief Legal Officer[.]” Motion Response at 18. Complainant also argues that Respondents have failed to adequately set out the standard for evaluating privilege objections. *Id.* at 15. Unfortunately for Complainant, *it* shoulders the burden of showing its privilege objections are legitimate, and *it* has not done so. Regardless of the burden, Complainant waived any privilege when it had Mr. Kastin verify the First Amended Complaint.

³ As mentioned in Respondents’ opposition to Complainant’s motion for leave to file its Second Amended Complaint, Respondents are prejudiced by this effort if such motion is granted having deposed Mr. Kastin during the discovery period as to the veracity of his Verification accompanying the First Amended Complaint and incurring the expense of filing this motion to strike. Complainant should not be permitted to supplant Mr. Kastin’s defective verification with yet another one executed after the close of discovery.

a. Mr. Kastin placed his personal knowledge in issue, waiving any putative attorney client privilege.

Mr. Kastin's deposition testimony and subsequent declaration stating that he has no knowledge do not somehow oust the sworn statement in the Verification that he has knowledge of the facts in issue. That he now claims to have no personal knowledge cannot displace the fact that his Verification accompanying the First Amended Complaint says otherwise. Again: both sets of facts cannot be accurate. This is especially true given Complainant's refusal to withdraw its privilege objections.

Complainant, and more specifically the plan administrator supervising Complainant's bankruptcy, placed Mr. Kastin's knowledge squarely in issue when they had him verify the Amended Complaint with a Verification specifically noting his knowledge. Placing his knowledge as former in-house counsel and current contractor to the plan administrator effectively waived any argument of privilege that could have existed. "Waiver of the privilege can be express or implied, inadvertent or deliberate." *United States v. Philip Morris USA Inc.*, No. 99-V-2496 (GK), 2004 WL 7372170, at * 2 (D.D.C. Mar. 24, 2004) (citing *Neuder v. Battelle Pacific Northwest Nat'l Lab.*, 194 F.R.D. 289, 298 (D.D.C. 2000)).

Whether intentional or not, and regardless of Complainant's now self-serving contention that Mr. Kastin does not possess relevant personal knowledge, Complainant has waived privilege with regard to Mr. Kastin's knowledge. When an attorney verifies a complaint, and the verification specifically references the declarant's factual knowledge, the attorney "cannot foreclose discovery of the factual basis for his factual representations in the affidavit any more than he could take the witness stand and testify on direct examination to the factual matters set forth in his affidavit, and then preclude cross-examination by invoking attorney-client privilege." *Computer Network Corp. v. Spohler*, 95 F.R.D. 500, 502 (D.C.Cir.

1982). Put simply, Mr. Kastin's Verification cites his knowledge. Because his knowledge has been placed in issue, the privilege objection is waived.

b. Complainant has not shouldered its burden to demonstrate the existence of the attorney-client privilege.

The mere possibility that privileged information may exist does not provide a legitimate basis for maintaining a privilege objection. Rather, "the [attorney-client] privilege is to be narrowly construed and applied only to situations where its purposes will be served." *United States v. Philip Morris USA Inc.*, No. 99-V-2496 (GK), 2004 WL 7372170, at * 2 (D.D.C. Mar. 24, 2004) (citing *Coastal States Gas Corp. v. Dept. of Energy*, 617 F.2d 854, 862 (D.C. Cir. 1980)). The party asserting the attorney-client privilege must show an attorney-client relationship and communications between the attorney and the client relating to facts of which the attorney was informed by the client without the presence of strangers for the purpose of securing legal opinions, legal services, or assistance in some legal proceedings. *See Philip Morris*, 2024 WL 7372170, at * 2 (quoting *United States v. United Shoe Machinery Corp.*, 89 F.Supp. 357, 358-59 (D. Mass. 1950)). The privilege must be claimed and not waived by the client. *Id.* "[C]ommunications from the attorney to the client may be privileged 'if they rest on confidential information obtained from the client.'" *Id.* (quoting *In re Sealed Case*, 737 F.2d 94, 99 (D.C. Cir. 1984)). "[T]he fact that the attorney at issue serves as in-house counsel to the privilege holder 'does not dilute the privilege;' however, the attorney's legal advice can be protected 'only upon a clear showing that the attorney gave it in a professional legal capacity.'" *Id.*

Complainant argues that "Mr. Kastin thoroughly answered all non-privileged questions." Motion Response at 13. On the contrary, when asked about his knowledge at deposition, Mr. Kastin provided vague answers and rested on his counsel's objections to

privilege. Regardless of his answers, Mr. Kastin's testimony cannot be "thorough" until the privilege objections are withdrawn. It is also impossible for Respondents to state with specificity the prejudice sustained due to Complainant's stonewalling because Respondents do not know with whom or about what Mr. Kastin may have spoken regarding relevant facts.

Further, it is clear that Complainant intends to withhold information that is not even privileged. Complainant seeks to protect "Mr. Kastin's thoughts on specific allegations" because they "implicate his former role as Chief Legal Officer and General Counsel." Motion Response at 17. "Thoughts" on allegations are not protected by privilege, which "extends only to *communications* and not to facts." *Philip Morris*, 2004 WL 7372170, at * 3 (quoting *Upjohn Co. v. United States*, 449 U.S. 383, 389 (1981)) (emphasis in original). Further, "privilege applies only to legal advice and not to business opinions or public relations advice." *Philip Morris*, 2004 WL 7372170, at * 3. Complainant has not undertaken to identify legal advice, instead wholly blocking Respondents' line of questioning to obstruct legitimate fact-finding.

Complainant argues that it is essentially "impossible to disentangle non-privileged facts from privileged assessments made by Mr. Kastin in his role as Chief Legal Officer." Motion Response at 18. Assuming all supposed entanglement was not cured by waiver, any remaining entanglement is of Complainant's making and for Complainant to unwind what it has done. It is Mr. Kastin who placed his knowledge at issue in verifying the First Amended Complaint as he did. He chose to rely on a purported attorney-client privilege that he waived by signing the Verification as written and refused to answer questions about what he did to verify the accuracy of the various allegations in the First Amended Complaint. And now with his latest declaration, Mr. Kastin revealed that he accepted the allegations derived from the Original Complaint as true (based upon another person's now moot verification) without

doing anything to verify their accuracy. That is not what his Verification accompanying the First Amended Complaint says. Mr. Kastin's Verification is defective for the reasons set forth above and in the motion to strike, must be stricken and the First Amended Complaint dismissed.

CONCLUSION

Respondents have shown that Mr. Kastin's Verification to Complainant's Amended Complaint is false and insufficient to verify the First Amended Complaint. Complainant's continued gamesmanship with discovery procedures and meritless objections shows that Mr. Kastin and the Complainant have a propensity for less than candor, further casting doubt on the veracity of the Verification.

For the reasons raised in Respondents' Motion to Strike and reasserted herein, Respondents respectfully request that the Verification of the Amended Complaint be stricken, that the First Amended Complaint thereafter be dismissed for want of verification, and for such other and further relief to which Respondents may be entitled.

DATED: December 4, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on the 4th day of December 2024, a true and correct copy of the foregoing **Reply in Support of Motion to Strike** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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